

FMC Docket 24-21
PKDC, LLC v. CMA CGM S.A.

RESPONDENT'S REPLY TO
COMPLAINANT'S PROPOSED FINDINGS OF FACT

UNRESTRICTED – PUBLIC VERSION
CONFIDENTIAL MATERIALS REDACTED

**BEFORE THE
FEDERAL MARITIME COMMISSION**

PKDC, LLC,	)	
	)	
Complainant	)	
	)	
v.	)	
	)	
CMA CGM S.A.,	)	
	)	
Respondent	)	DOCKET NO. 24-21
	)	

RESPONDENT’S REPLY TO PKDC’S PROPOSED FINDINGS OF FACT

Respondent CMA CGM S.A. (“CMA”) hereby responds to Complainant PKDC’s (“PKDC”) Proposed Findings of Fact (“PFF”).

OBJECTIONS

A. CMA objects to and denies those statements in PKDC’s Proposed Findings of Fact (“PFF”) which violate the directive set forth in paragraph 17 of the Scheduling Order entered by ALJ Erin M. Wirth on May 16, 2024 (“Scheduling Order”), which requires:

“Proposed Findings of Fact. This document must set forth proposed findings of fact in numbered paragraphs. Each paragraph shall be limited, as nearly as practicable, to a single factual proposition. Each factual proposition shall be followed by an exact citation to evidence that the party contends will support the proposed finding of fact; e.g. a page number in the appendix.

CMA objects to PFFs which contain multiple statements, and combine multiple assertions, partial quotations from deposition testimony and excerpts from exhibits and other documents in

violation of this directive because they have impeded CMA's ability to prepare concise and accurate responses. CMA further notes that PKDC made citations to the record which were erroneous and required CMA to "guess" what evidence, if any, that the PFF was relying upon for support. These have been noted by CMA in its Reply and, where possible, CMA has attempted to respond, in good faith, to the statements which violate this directive; otherwise, these improper statements are denied. CMA reserves the right to supplement this Reply to the extent necessary to avoid having been deemed to admit statements which have been improperly advanced by PKDC in a form that violates the Scheduling Order.

B. CMA objects to statements which contain or refer to facts which are not material or relevant, which are denied.

C. CMA objects to statements which are conclusory or argumentative, which are denied.

D. CMA objects to the headings embedded in PKDC's PFF because their inclusion is not contemplated by paragraph 2 of the Scheduling Order and because they contain assertions which are conclusory and argumentative. CMA has deleted these headings while maintaining the numerical organization that PKDC has used on its PFF, and, to the extent any headings are conclusory or argumentative, CMA states that they are denied.

E. CMA objects to PKDC's characterization of documents and testimony that speak for themselves, which are denied.

CMA'S REPLY TO PKDC'S PROPOSED FINDINGS OF FACT

1. PKDC is a shipper, as defined by 46 U.S.C. § 40102(23). PKDC is part of the Furniture Row group of companies.¹ Furniture Row is “a stable and profitable [furniture] retailer with over 331 stores in 31 states. They are the largest cash buyer of furniture, and the largest direct mattress retailer in the US.” CMA077062 [APP0354].

Response: CMA does not dispute that PKDC is a shipper. CMA does not have sufficient information to admit or deny that PKDC is part of the Furniture Row group of companies or its relationship with same. CMA admits that the third sentence in PKDC's PFF #1 appears in the undated document cited to by PKDC.

2. CMA is a common carrier as defined by 46 U.S.C. § 40102(7)(A)-(B), and an ocean common carrier as defined by 46 U.S.C. § 40102(18). CMA's Verified Answer ¶ 4.

Response: Admit.

3. In 2020, PKDC negotiated a service contract with CMA, originally for an MQC of 2,000 twenty-foot equivalent units (TEUs). PKDC, however, anticipated shipping much more. It accordingly requested an MQC of 4,000 TEUs instead. At first, CMA balked: “This is not possible, we need to maintain 2800 [TEUs].” CMA001778 [APP0357]. But CMA considered the request anyway, wondering whether PKDC could “go after the liquidated damage[s] if [CMA is] not able to meet the 4000T before the end of the contract period.” CMA001777 [APP0356].

Response: Denied as stated. Although PKDC fails to cite any evidence for the existence of the 2020-21 service contract assigned SC No. 20-2947 (“2020 Service Contract”), CMA admits that it negotiated a service contract with PKDC for the 2020 service contract

¹ PKDC acts as the buying agent and importer of record for the Furniture Row group of companies; as such, references to furniture retailing more accurately pertain to Furniture Row.

period. The 2020 Service Contract is not at issue in this proceeding and is not relevant, nor is correspondence related thereto. No evidence is cited for the proposition that PKDC anticipated shipping much more, and CMA does not have sufficient information to admit or deny PKDC's allegation that it "anticipated shipping much more" than the MQC to which it agreed in the service contract. CMA admits that, in September 2020, midway through the 2020 Service Contract, PKDC requested its MQC be increased to 4,000 TEUs. CMA resisted PKDC's request, noting internally that CMA faced challenges with modifying the MQC because of an "informatic issue" but eventually agreed to modify the MQC to permit PKDC to ship more than its MQC during that 2020 Service Contract term when PKDC "refuse[d] to sign" it otherwise. APP0357-58. In the same correspondence, CMA's internal discussions show efforts to communicate clearly with PKDC about its weekly allocation under the amended MQC and a concern about ensuring the MQC would be met.

4. The response was clear. PKDC had "the standard [boilerplate,] so [liquidated damages] should not be an issue." CMA001776 [APP0355]. The "standard boilerplate" in CMA's service contract provides that, if CMA fails to honor the MQC, the shipper's sole remedy is a contractual amendment reducing the MQC to the TEUs actually shipped (a "drawdown" amendment). CMA061497 [APP0361]. In other words, the MQC agreed to by the parties was meaningless, in CMA's view, because PKDC could get nothing more than a contractual reduction in its MQC—liquidated damages would "not be an issue." "There is nothing in the [boilerplate] that allows the customer to come after CMA if we do not meet the 4000" TEU MQC. CMA061497 [APP0361].

Response: Denied as stated. The first sentence is not a proposed finding of fact, is unsupported by a citation to evidence, and is denied. The terms of the 2020 Service Contract

are not relevant to this proceeding and, in any event, like APP0355 and APP0361, speak for themselves. The fourth sentence is not a proposed finding of fact, is unsupported by evidence, and is denied as the correspondence to which PKDC cites clearly shows that CMA was resistant to amending the MQC *in the middle of the term of the 2020 Service Contract*, was concerned about verifying whether the volumes were being met, and undertook to ensure that PKDC was properly advised with regards to its weekly allocations under the agreement. APP0356-58. The fifth sentence is not a proposed finding of fact and the document cited therein speaks for itself.

5. PKDC, unaware of these internal discussions, in good faith, signed another service contract with CMA for contract year 2021-2022 (March 19, 2021, through April 30, 2022), for an MQC of 4,000 TEUs. Service Contract No. 21-2947 [APP0094-APP0119]. CMA committed to carry PKDC's cargo between a variety of port pairs, typically ports in Southeast Asia and China paired with locations in Colorado. *Id.*

Response: Denied as stated. The first sentence cites no evidence in support of allegations regarding PKDC's state of mind when entering into the 2021 Service Contract (SC No. 21-2947). CMA admits that it entered into Service Contract No. 21-2947 with PKDC. The 2021 Service Contract otherwise speaks for itself.

6. PKDC's weekly allocation of vessel space was approximately 80 TEUs per week (4,000 TEUs divided by 52 weeks), spread across these port pairs. *See* Eouzan Dep. at 117:14-25 ("You have an MQC. We divide the MQC by 52. It gives us the weekly allocation.") [APP1081].

Response: Admitted, but deny that SC No. 21-2947 contains any contractual obligation to provide any particular amount of space per week.

7. At the beginning of the service contract, the “weekly FEU allocations by port” consisted of 12 FEUs out of Vietnam; 4 FEUs each out of Shanghai, India, Ningbo, and Xingang; 3 FEUs each out of Yantian and Port Tanjung Pelepas; and 2 FEUs each out of Dalian and Port Kelang. CMA057774 [APP0369].

Response: Denied. PDKC cites to an email chain but does not refer to the most recent item in the chain, which includes an attachment showing the projections as entered into CMA’s system “CAM.” CMA057779 [RX0221]. The attachment shows the following projections: 10 TEUs from Malaysia, 24 TEUs from Vietnam, 8 TEUs from Ningbo, 8 TEUs from Shanghai, 6 TEUs from Yantian, 4 TEUs from Dalian, 8 TEUs from Xingang, and 8 TEUs from India.

8. PKDC only uses FEUs, not TEUs, to ship its cargo. CMA000835 (“20’ cntrs are basically useless for furniture shippers. Especially at this rate level. PKDC doesn’t even have 20’ rates filed because they cannot use them.”) [APP0704].

Response: CMA does not have sufficient information to admit or deny whether PKDC exclusively uses FEUs. CMA admits to the extent that the second sentence accurately quotes the document to which it cites.

9. The 4,000 TEUs represented a large portion of the cargo volume that PKDC anticipated shipping to the United States for contract year 2021-2022: 5,750 FEUs, or 11,500 TEUs. Grafton Dep. at 18:19-23, 22:4-5 [APP0839, APP0843].

Response: Denied as stated. CMA does not have sufficient information to admit or deny what PKDC anticipated. Moreover, CMA denies the characterization of the 4,000 TEU MQC as a large portion of the space secured by PKDC. PKDC committed to ship a total MQC of 10,000 FEU with various VOCCs and NVOCCs. CMA PFFs 11, 16-55.

10. PKDC contracted with other carriers to ship the remainder of its anticipated cargo volume. Grafton Dep. at 25:8-14, 31:8-16 [APP0846, APP0852].

Response: Denied as stated. PKDC contracted with other VOCCs and NVOCCs for volumes in excess of its projections and had no intention of shipping the full volume of the MQC it secured. Grafton Dep. 21: 14-25; 25: 8-14 [APP0842; APP0846] (“Yes, our freight manager had agreements with NVOCCs, also... We did not want to ship any of that volume with NVOCCs. That was basically a backup plan.”)

11. PKDC’s prediction of its annual shipping volume ended up being spot-on. Over the course of the 2021 to 2022 contract year, PKDC ended up shipping about 5,900 FEUs, or 11,800 TEUs. Grafton Dep. at 32:9-16 [APP0853].

Response: The first sentence cites no evidence in support of its contention and is denied. Admit second sentence.

12. Space on vessels was tight throughout the COVID-19 pandemic. There were “capacity constraints resulting from vessel delays caused by port congestion during the” pandemic, “especially delays in vessels entering the Ports of Los Angeles/Long Beach.” CMA’s Reply to PKDC’s Second Interrogatories at 3 [APP0812]. “Due to these vessel delays and increased demand during this period,” *i.e.*, from 2020 through 2022, “equipment was in short supply in different ports” and “locations at different time periods.” *Id.* Thus, these issues of high demand and low supply were not suddenly new to the 2021 to 2022 service contract year. They started at the beginning of the pandemic.

Response: CMA admits that the quotes identified by PKDC appear as cited, but these materials speak for themselves. CMA denies PKDC’s conclusions that follow the quoted

materials as improperly presented as proposed facts and because they are, in fact, conclusions not supported by the cited materials.

13. CMA's official policy was that freight rates were "not supposed to be taken into consideration" in determining which cargo got on a ship. Eouzan Dep. at 99:10-100:18 [APP1077]. The "default policy," ostensibly, "was to reduce the allocation of all customers on a pro-rata basis." CMA's Reply to PKDC's First Interrogatories at 7 [APP0800].

Response: CMA admits that the quoted materials appear as cited, but these materials speak for themselves without the addition of conclusory language by PKDC.

14. But that was no policy at all: according to CMA, pro-rating vessel space among customers was "subject to ad hoc adjustments based on the contractual commitments of customers and" their "*performance*." *Id.* (emphasis added). And internally, CMA identified opportunities to maximize its revenue from the very start. In February 2020, CMA explained that "[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]" CMA114490 [APP0375].

Response: CMA denies the proposed finding of fact as improper,² conclusory, and argumentative. CMA also denies this proposed finding of fact because it cites to an email from American President Lines ("APL"), a company that was operated separately from CMA at the time the email was prepared in March of 2020, prior to the Relevant Period and because it does not accurately represent the evidence cited. The statements are also defective because PKDC improperly cherry picks a quote from an email describing a limited circumstance where "minor adjustments on [service contract] accounts" were made in the

² Reference to "improper" findings of fact refer to PKDC's use of multiple statements instead of isolating proposed findings to a single proposed finding except where otherwise explicitly stated.

transpacific trade and attempts to amplify what was actually stated to some sort of global and indefinite scheme. APP0375.

15. At the end of 2020, when the pandemic was still somewhat fresh, a CMA account manager internally relayed customer complaints about CMA's conduct. "[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]" CMA075002 [APP0378].

Response: CMA denies the proposed finding of fact as improper, conclusory, argumentative, and not relevant because the correspondence precedes the term of the 2021 Service Contract. Here, counter to what PKDC alleges, CMA undertook to collect information from its customers, inviting feedback about what "customers will want in the post covid world" and how to best serve customers. APP0380. These were not complaints raised by customers. *Id.* Unsurprisingly, the feedback from four import customers *about what they wanted*, including PKDC itself, was effectively that CMA's customers wanted to pay less for freight; have more chassis available; pay less for indirect costs like detention and demurrage; and have access to faster rail service in LA. APP0378. It would be astonishing if customers did not hope for these things under almost any conditions. The same document described PKDC as having volumes that "look[ed] strong for the foreseeable future" and did not attribute any specific complaints to PKDC. *Id.*

16. But CMA changed none of its policies in response to the pandemic, even though it knew about these customer complaints about shortages of space and equipment. CMA's "practice

for allocating space on the routes covered by the [service contract] was and remains to allocate 100% of its available vessel capacity to service contract cargo.” CMA Supplemental Reply to PKDC’s First Interrogatories at 1 [APP0803]. “Hence, virtually all cargo moved by CMA ... in the [service contract] trades moved under service contracts, and the amount of cargo moved at spot rates (if any) is negligible.” *Id.* at 2 [APP0804]. Yet CMA did not change how it determined how many TEUs it could carry over a year, even though it knew of equipment shortages, port congestion, and lack of vessel space. Eouzan Dep. at 49:11-22 (agreeing that CMA did not “change the math problem for ... determining the number of TEUs” that it thought it would “be able to move” in 2021: “number of ships times TEUs times weeks”) [APP1064].

Response: CMA again denies PKDC’s characterization of customer feedback as “customer complaints.” CMA also denies the proposed finding of fact as improper, conclusory, and argumentative. PKDC’s conclusory statements are not supported by the testimony to which it refers, and the testimony speaks for itself when considered in context, including that capacity conditions were difficult to predict; that CMA worked with customers to determine their shipping needs; and that CMA considered market dynamics and customer needs in making decisions to deploy additional capacity to certain trades in response to market conditions. Eouzan Dep. at 46:5-51:7. APP1064-65.

17. Nor did CMA make any changes to its customer ranking systems, space allocation method, or equipment priority policies in response to the pandemic. CMA’s Reply to PKDC’s Second Interrogatories at 3 [APP0812]. In short, going into the 2021 contract year, CMA knew that there was a perfect storm of increased demand and lower supply, but changed nothing to ameliorate the impact of that storm on customers with service contracts; rather, it utilized the situation to line its own pockets.

Response: CMA denies the proposed finding of fact as improper, conclusory, and argumentative. Moreover, PKDC overstates the evidence to which it cites, which speaks for itself. CMA stated in the evidence to which PKDC cites only that CMA did not make changes to “CMA’s VIP Pool, CAM, or equipment priority Policies.” CMA also denies the remainder of PKDC’s conclusory and baseless allegations presented as facts here.

18. CMA had, and still has, ample means to preference higher-paying cargo. CMA uses an internal electronic system called “LISA CAM,” or “customer allocation management,” for allocating vessel space among customers with service contracts. The CAM system requires the user to input several data elements concerning the customer, one of which is the “REDACTED” CMA035250 [APP0385]. The CAM customer ranking system requires the user to assign a number from 0 to 8 for each customer. CMA035262 [APP0397].

Response: CMA denies the proposed finding of fact as improper, conclusory, and argumentative. CMA denies that it prefers higher paying cargo. CMA admits that it has a tool referred to as “LISA CAM” or “CAM” that is used to allocate vessel space and that it is designed to promote efficient and fair cargo management. CMA admits that CAM uses numeric assignments to categorize customers based on the terms of service contracts with those categories of customer or cargo, including, for example, whether or not cargo is refrigerated. APP0397. CMA’s witness, Mr. Eouzan spoke further on the subject during his deposition, noting that CAM was primarily used to organize the distribution of cargo moving in “hundreds of thousands of lanes” and also used to allocate space amongst the lanes, such as a category that would permit global customers to ship on any of CMA’s trade lanes. 119:4-121:24. APP1082.

19. A ranking of 0 means that the customer is “[REDACTED]”; a ranking of 1 means the customer is “[REDACTED]”; and a ranking of 2 means the customer is “[REDACTED].” *Id.*

Response: CMA denies the proposed finding of fact as stated. The chart referenced by PKDC here, which speaks for itself, includes categories of documents, including, as referenced above, cargo that is refrigerated. Moreover, PKDC’s attempt to suggest that a higher number means a lower priority is misplaced, particularly where category 7 is reserved for the only VIP customer identified by name, [REDACTED]. APP0397. See also response to PFF 18. CMA further denies that the amount of space provided correlated directly with customer rank. See APP0397 (showing customer at Rank 7) and CMA146967 at Rows 150, 288, 293, 860 and 1073 (Rank 7 customer receiving full allocation) and Rows 292, 294, 303, 726 and 1991 (Rank 7 Customer not receiving full allocation).

20. Moreover, “[o]perational planning views may display applicable surcharges for a given period,” meaning that CMA can see how much money a particular allocation will bring in. CMA’s Reply to PKDC’s Second Interrogatories at 6 [APP0815].

Response: CMA denies PKDC’s cherry picked quotation here as stated. The full text of the response cited to, which speaks for itself, is restated here for clarity and context.

50. Identify all CMA personnel or departments responsible for labeling customers as “low paying” or “least profitable,” and describe any policies that limited space or equipment for those customers.

Response: CMA CGM has no process for formally designating customers as “low paying” or “least profitable.” To the extent customers were characterized in such fashion, the characterization appears to have been a subjective characterization by an individual employee. Allocation of vessel space is not determined by freight rates or payment terms. Operational planning views may display applicable surcharges for a given period, but such visibility does not by itself alter allocation priorities.

21. During the service contract year, however, “PKDC was categorized as a standard BCO account”—not “Elite” or “High-Paying”—“based on the volume of cargo committed.” CMA’s Reply to PKDC’s Second Interrogatories at 4 [APP0813]. That meant PKDC had a worse chance of getting space on a ship. Eouzan Dep. at 122:13-123:25 (agreeing that “the rankings from best to worst go from zero to eight,” and that rank seven “was one of the lowest ranking[s]” in “term[s] of ... getting ... space”) [APP1083].

Response: CMA admits to the extent that PKDC was categorized as a standard BCO account based on the volume of cargo committed. CMA denies PKDC’s effort to compare this description to the chart at APP0397 where “Elite” and “BCO High Paying” appear because “standard BCO account” is not on that chart at all; PKDC’s characterization is misleading. CMA denies PKDC’s characterization that a lower ranking reduced PKDC’s chance to “get on a ship.” Based on the testimony of Mr. Eouzan identified in response to PFF 18, CMA admits that the CAM would have reduced PKDC’s ability to get on a ship that was not within the scope of its service contract lanes. However, CAM would not have prevented PKDC from obtaining space on a vessel moving in a trade lane in the 2021 Service Contract if PKDC’s booking attempt was within the term of the agreement and not in excess of its projection in a particular trade lane. See also Response to PFF #19.

22. That was not the only customer ranking system that CMA used. It had a separate “VIP” system called the “VIP Pool,” which CMA used as “an equipment prioritization system” to “allocate equipment.” CMA’s Supplemental Reply to PKDC’s Second Interrogatories at 1 [APP0817]. The person in charge of the CMA personnel who made “VIP tier designations,” Mr. Pierre Eduard Eouzan, CMA’s Reply to PKDC’s Second Interrogatories at 1 [APP0810], clarified at his deposition that the VIP Pool was used to rank customers across “all trade lanes.” Eouzan

Dep. at 108:14-110:3 [APP1079-APP1080]. “VVIP” customers were the “first” to get equipment, followed by “VIP4,” then “VIP3,” and so on. *Id.* at 109:10-17 [APP1079]. The lower the customer’s ranking, the less chance the customer has of getting equipment. *Id.* at 110:8-13 [APP1080].

Response: Denied as stated. PKDC again cherry picks from a quotation that speaks for itself. PKDC refers to the VIP Pool here, noting that it is used to allocate equipment, which CMA admits, but PKDC leaves out that the VIP Pool is “used exclusively in China,” an origin from which PKDC received less than half of its projected space. See Response to PFF #7 above. PKDC also misstates Mr. Eouzan’s testimony, which clarifies that he is familiar with a VIP system, not specifically the “VIP Pool” as PKDC alleges here as “This is equipment – equipment ranking system based in – in origin offices we were talking about” rather than a global equipment system. Eouzan Dep. 108:18-23. APP1079. He later clarifies that VIP changes were handled in “China mainly and all port origins in China” where this program existed. *Id.* at 111:20-21, APP1080. CMA admits to the extent that customers with a higher ranking had improved access to equipment for cargo originating in China during the Relevant Period; that customers’ rankings could be modified and were not fixed; and that all customers had an opportunity to obtain equipment without regard to a customer’s ranking. Eouzan Dep. 109:25-110:3; 110:14-19; 111:11-21. APP1079-1080.

23. The VIPs were the big players—large companies of strategic importance to CMA. *See, e.g., id.* at 145:18-146:11 [APP1088-APP1089].

Response: CMA denies this proposed finding of fact as stated. PKDC cites to testimony that is unrelated to “VIPs” and the “VIP Pool,” and the testimony cited here does not reference “VIPs” or relate to the “VIP Pool.” Instead, this testimony refers to large US

BCO customers without regard to the specific trade lanes on which they moved cargo during the Relevant Period.

24. Among other considerations, customers were assigned a VIP ranking (or not assigned a VIP ranking) based on “volume, strategic importance” to CMA, and “revenue.” CMA’s Supplemental Reply to PKDC’s Second Interrogatories at 1 [APP0817]. Customers could be downgraded in their ranking if they “complain[ed] strenuously or threaten[d] to pull business.” *Id.* at 2 [APP0818]. The necessary implication of that bald admission of retaliation: if customers paid more and kept quiet, they would get rewarded with space on vessels.

Response: CMA denies this proposed finding of fact as stated. CMA also denies the conclusory, improper, argumentative, and unsupported allegations included by PKDC in this proposed finding of fact. PKDC has cherry picked and modified the statements made in the interrogatory response, which speaks for itself. CMA admits that customer VIP Pool rankings were determined by a number of factors, including but not limited to, “volume, strategic importance to the CMA CGM Group (e.g. customers shipping on multiple trade lanes) and, revenue, as well as operational considerations such as type of equipment utilized by the customer, and whether the customer’s past requests for equipment had been fulfilled.” APP0817. CMA denies PKDC’s substitution of “downgraded” for “adjusted,” which actually appears in the materials to which PKDC cites and notes that customer engagement could only result in an improvement in its status. CMA denies that it retaliated against its customers through the VIP Pool system.

25. Although the VIP system focuses on equipment, rather than space allocation, equipment is necessary to obtain vessel space. “As part of a service contract and part of the MQC,” it was “CMA’s responsibility to allocate equipment for that space.” Eouzan Dep. at 65:11-15

[APP1068]. The only “equipment allocation” that “is necessary under the contract” is containers. *Id.* at 65:16-21 [APP1068]. In other words, without CMA providing containers, vessel space could not be provided for a customer. It was “equipment” that “was in short supply” during the pandemic. CMA’s Reply to PKDC’s Second Interrogatories at 3 [APP0812].

Response: CMA admits that equipment is generally necessary for its customers to move their cargo. CMA otherwise denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes testimony and material that speak for themselves.

26. Thus, although “[REDACTED],” CMA did not, and controlled bookings using equipment availability. CMA032882 [APP0402]. That is, “[REDACTED]” *id.*, and the VIP system for allocating equipment “[REDACTED]” CMA032883 [APP0403]. Accordingly, VIP designations directly played into vessel space allocation. *See, e.g.*, CMA003170 [APP0420].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. CMA further denies this proposed finding of fact because the evidence cited here is not relevant here and because PKDC misstates the evidence to which it cites. PKDC points to evidence from 2023 that appears to relate to the China trades alone to draw conclusory assumptions about the Relevant Period. APP0402-0403. PKDC also alleges that this email refers to “the VIP system,” but it does not. *Id.* PKDC also refers to an email chain wherein CMA was working to get PKDC space *above its allocation* upon the request of PKDC, to draw a conclusion about VIP designations that is ultimately baseless. APP0420 -79. The email chain shows only that

CMA undertook zealous efforts to secure extra space for PKDC and that conditions were so challenging with respect to truck capacity and equipment in Ningbo in April to May of 2023 that the cargo could not be accommodated. *Id.* It makes no reference to the VIP Pool or PKDC's position in the VIP Pool at the time. *Id.* Moreover, the term of the 2021 Service Contract expired on April 30, 2022, and this cargo was moving after the expiration of the 2021 Service Contract. APP0096.

27. In fact, from the very beginning of the service contract year, the policy was to "[REDACTED]" VIP customers. CMA068856 [APP0480].

Response: CMA denies this proposed finding of fact as conclusory and unsupported by the evidence to which PKDC cites. The quoted language describes the "Old" way of things, and the email itself refers specifically to "NGB" or Ningbo. APP0480. Moreover, CMA prioritized all of its customers, including PKDC.

a. Take, for example, an internal CMA exchange toward the beginning of PKDC's service contract. There were longstanding issues with CMA giving service contract customers space allocations out of Vietnam. According to a CMA home office line manager, there needed to be "[REDACTED]," given that it had been an issue for at least "[REDACTED]" CMA055718 [APP0497]. Vietnam was "[REDACTED]"

[REDACTED] *Id.*
Specifically, when [REDACTED]

[REDACTED] *Id.*

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. PKDC offers no basis for

the first two statements here, and CMA denies the same. CMA admits that the demand for service in Vietnam exceeded the available supply of capacity and that CMA undertook strenuous efforts to fulfill its allocations to all of its customers, which is supported by the evidence to which PKDC points. APP0497.

b. That is, CMA was giving space *above* allocation to VIPs, while “[REDACTED]” BCOs like PKDC were facing a “[REDACTED].” *Id.* Indeed, as PKDC’s assigned account manager told PKDC around the same time, “we are not in a position this year to be able to accept overages.” CMA131612 [APP0510]. But VIPs could get “[REDACTED]” if they paid extra fees. CMA145172 [APP0516].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. CMA admits to the extent that its employees zealously undertook to ensure fairness of space allocations when actions were taken in non-compliance with CMA's policies of distributing space.

c. Or consider another example from the latter half of the service contract year. PKDC requested that CMA carry one FEU, and the request was sent internally at CMA for approval. CMA067932-33 [APP0524-APP0525]. But the response did not ask whether PKDC had been provided with its weekly MQC, or whether CMA was behind on its performance under the service contract. Instead, a CMA employee asked if they are “[REDACTED]”

[REDACTED]

[REDACTED].” CMA067932 [APP0524]. That understanding was confirmed to be correct. “[REDACTED]”

[REDACTED]” CMA067928 [APP0520].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. PKDC points to an email chain wherein 69 forty-foot high cube containers were identified and a request to put all of these containers on the same vessel from Ningbo was escalated within CMA. APP0524-25. Unsurprisingly, specific questions about PKDC’s cargo were not immediately raised as PKDC appears to suggest would have been appropriate. Instead, CMA employees noted the available space on the HBB EVER LEADER and constraints such as Ningbo’s status as the last loading call for the vessel. APP0523. CMA admits to the extent that the final quotation is accurate but notes that PKDC omits the immediate next sentence wherein CMA’s employee advises where to seek an exception to move the cargo. APP0523. Importantly, this request was promptly approved without issue. APP0519.

d. If non-VIPs wanted to get space on vessels with VIPs, they needed an exception approved at the highest levels of the CMA hierarchy, *see* CMA067927-28 [APP0519-APP0520], but “REDACTED” and those VIPs paying extra fees got space by default, *see* CMA067931 [APP0523].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. This evidence relates specifically to Ningbo and two vessels in particular despite the sweeping statement from PKDC. Here, again, PKDC replaces its own interpretation for evidence. Instead of quoting “See if @HUANG Michael could give an exception to help TP move forward,” PKDC liberally restates the evidence as “needed an exception approved at the highest levels of the CMA hierarchy.” APP0519-20. PKDC’s mischaracterization is deeply self-serving and highly inappropriate. Moreover, as noted, the request for an exception was promptly

approved by Mr. Huang. Similarly, PKDC’s second statement restates evidence inappropriately. There is no reference to fees, no reference to default, and the reference to Elite bookings refers only to space secured on extra loader vessels that left before the vessels under discussion, constraining the available supply of equipment for the vessels departing on a later date for all customers.

28. Even though PKDC’s service contract with CMA was supposed to guarantee space and equipment, PKDC’s status as a low-paying, non-VIP customer meant that CMA would refuse it space on vessels or equipment in favor of more lucrative cargo. As just one example, PKDC tried to book space on a CMA vessel within the service contract period, *see* CMA003170-3229 [APP003170-APP0479], but CMA “ke[pt] cancelling, asking [PKDC] to rebook, cancelling again, asking them to rebook.” CMA003172 [APP0422]. It was “getting kind of crazy,” according to PKDC’s assigned account manager from CMA. *Id.* In the end, although the account manager tried her best to get PKDC’s cargo loaded on a particular vessel, it was no use. “As per quota given today,” the vessel “could only cover VIP3” customers—not non-VIP customers like PKDC. CMA003170 [APP003170].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. PKDC cites³ to an email chain here with the subject heading “PKDC Extra Volume Request,” which, as the subject heading suggests is, in fact, a request for *extra volume* and not space within the projections under PKDC’s service contract. APP0420-79. CMA admits this proposed finding of fact to the extent that CMA’s employees tried emphatically to support PKDC’s request for extra space despite unprecedented and challenging market conditions. CMA denies the rest of

³ The citation is not proper, so CMA assumes that PKDC meant to cite to APP0420-79.

PKDC’s proposed findings here as baseless and misleading. Moreover, PKDC internal correspondence indicates PKDC itself understood that service contracts are not guarantees of space. PK00071007, RX0046.

29. That experience was common for PKDC throughout the service contract year. Booking requests submitted by PKDC to CMA within PKDC’s weekly contractual allocations were repeatedly rejected, or accepted then cancelled, due to lack of space or equipment. *See, e.g.*, CMA137742 (“[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]”) [APP0526]; CMA004590 [APP0528]; CMA003230 [APP0556]; CMA003990 [APP0617]; CMA017529 [APP0626].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. The quoted language was from an email dated April 7, 2021, at the very outset of PKDC’s contract and followed an email noting that PKDC’s contract allocations were only just updated in CMA’s system. APP0526-27. The second piece of evidence, at APP0528, reflects the email chain with the subject heading “PKDC Extra Volume Request/ NINGBO” and identifies a request for 19 high-cube containers, a weekly projection that PKDC did not have in any of its service contract lanes. PKDC then cites to what appears to be the same email chain in APP0556. In APP0617, PKDC requested space on a trade lane for which it had no projection (see APP0624), and CMA attempted to find space multiple times, only being able to offer twenty-foot containers instead of a forty-foot high cube container. APP0617-APP0625. Finally, PKDC points to APP0626, a May 23, 2022, email chain wherein containers could not be

secured in time for PKDC's cargo to be loaded onto a vessel. APP0626-27. Moreover, the term of the 2021 Service Contract expired on April 30, 2022, and this cargo was moving after the expiration of the 2021 Service Contract. APP0096. In effect, all of the evidence here either relates to a time outside the duration of the 2021 Service Contract or applies to cargo that was not within the volume projection of the 2021 Service Contract.

30. In August 2021, PKDC expressed to CMA that it was "increasingly frustrating to not be able to get our allocations and the space we need." The "biggest pain points" at the time were "Vietnam, Shanghai, Xingang, Malaysia, Indonesia and Ningbo." CMA133808 [APP0659]. "CMA would try to catch up if there was a shortfall one week," Martini Dep. at 90:20-22 [APP1017], but there was nothing PKDC could do if CMA failed to carry a weekly MQC. PKDC "couldn't book outside of [its] allocations or they would get automatically denied." Grafton Dep. at 29:22-30:4 [APP0850-APP0851]. Not being able to "make up these allocations ... left a lot of this freight sitting there." *Id.* at 48:15-18 [APP0869].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. Moreover, as discussed in response to PFF29, PKDC points to frustration over CMA's inability to provide space that was not even within the projections of the 2021 Service Contract. In the evidence to which PKDC points, PKDC expressed frustration and referred to "the more space that we really need" without clarifying whether this was within the trade lanes and/or volume projections of the 2021 Service Contract. APP0659. Only upon being asked what origins PKDC needed space from did PKDC identify the locations PKDC notes. *Id.* In that same email, Ms. Martini specifically noted that PKDC's booking teams at origin had not expressed frustration. *Id.* CMA admits that Ms. Martini's testimony is accurately quoted, but that PKDC's allegation

that “there was nothing PKDC could do if CMA failed to carry a weekly MQC” is baseless and not supported by evidence. Moreover, Ms. Martini noted in her testimony that CMA worked to offer space on alternative services and accommodate customer requests as best CMA could. Martini Dep. 90: 7-19, APP1017. CMA denies that PKDC was unable to secure space outside of its projections and notes that PKDC has pointed to multiple instances in its PFF29 where it did exactly that. CMA admits to the extent that PKDC was not entitled to space outside of the terms of the 2021 Service Contract, but CMA undertook zealous efforts to secure and provide service to PKDC when requested. *See Response to PFF29.*

31. And CMA’s booking portal did not make things easy. “[H]ow the vessel[s] opened and how that was communicated was a challenge with CMA. That wasn’t something that was a consistent rule across their organization. And when you got into their portal to choose a booking, it didn’t say when those bookings would be ready either.” *Id.* at 77:2-9 [APP0898].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. CMA further denies the assertion from Ms. Grafton as the quoted material⁴ refers to a system operated by 27 factories and not Ms. Grafton herself. Grafton Dep. 75:20 -77:9, APP0896-88.

32. CMA did not maintain records of the many booking rejections that PKDC received. CMA’s Supplemental Reply to PKDC’s First Interrogatories at 4 [APP0806]. Thus, CMA had little ability to monitor its compliance with its service contracts. Indeed, CMA’s testimony showed that although CMA would analyze a *customer’s* performance under a service contract, it did not analyze *CMA’s* performance under that contract. Martini Dep. at 55:16-56:23 [APP1008].

⁴ The same quoted material is subject to an objection voiced by CMA counsel during the deposition wherein Ms. Grafton provided testimony non-responsive to the question asked. Grafton Dep. 76:24 -77:9, APP0897-88.

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. CMA’s system is set up so that rejected bookings were “never integrated into the system” and not that CMA failed to maintain its records. APP0806. CMA denies that it could not or did not monitor its compliance with service contracts. The testimony to which PKDC cites shows only that Ms. Martini herself did not specifically conduct an analysis into CMA’s performance because it was not something that she could measure or include in her summary of a customer as part of the RFQ process. Martini Dep. 54:5-56:23, APP1008.

33. The booking cancellations that CMA did keep records of reveal that CMA’s booking procedure was faulty. “1,426 cancelled TEUs” alone “are recorded as ‘Out of Booking Window,’” meaning that bookings ostensibly were “requested before the applicable booking window opened.” Ewan Decl. ¶ 7 [APP0821]. But according to CMA’s testimony, the booking system would not have been open at all if it had truly been too early to book. Eouzan Dep. at 82:18-22 [APP1073]. Moreover, over 800 additional TEUs were cancelled because space was requested “in excess of customer allocations.” Ewan Decl. ¶ 8 [APP0821]. But CMA’s testimony was that “canceling accepted bookings [was] driven by equipment availability mainly, if not only,” Eouzan Dep. at 107:12-23 [APP1079]—not booking too early or booking too much.

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and mischaracterizes evidence that speaks for itself. The first sentence cites no supporting evidence. CMA admits that it undertook to collect and analyze available booking records that reflect manual inputs as described in the evidence itself. APP0820-21. It appears PKDC is seeking to manufacture inconsistency where no substantive differences exist. Mr. Eouzan’s testimony does not categorically preclude there being other reasons for

the acceptance of cargo. It is also possible that the word “cancelled” was used narrowly by Mr. Eouzan (whose native language is not English) to mean a booking that was initially accepted but later cancelled and that Mr. Ewan is using the word more broadly to refer both to bookings that were never accepted and those which were initially accepted but later cancelled. In either case, any uncertainty merely means that PKDC has failed to meet its burden of proof on the issue.

34. In any event, cancellations for purportedly requesting space over allocation cannot be reconciled with CMA’s position that it “would try to catch up if there was a shortfall one week.” Martini Dep. at 90:20-22 [APP1017].

Response: CMA denies this proposed finding of fact as argumentative, conclusory, and mischaracterizes evidence that speaks for itself. As PKDC well knows, it would be possible for one booking to be canceled because it was a request in excess of PKDC’s contractual entitlement while an exception to the terms of PKDC’s contractual entitlement could be offered at a later time. In fact, PKDC points to multiple examples of this in its PFF29.

35. Internal CMA spreadsheets reveal the outcome of its ranking systems on its customers during the 2021 to 2022 service contract year: VIPs and high-paying NVOs got their MQC, and then some.

Response: CMA denies this proposed finding of fact, which cites to no evidence, as improper, argumentative, conclusory. Moreover, PKDC seeks to extrapolate specific conclusions based on evidence that is not relevant to its claims here and has no bearing on the analysis necessary to adjudicate PKDC’s claims. In addition, the “[i]nternal CMA

spreadsheets” to which PKDC refers here reflect CMA’s global trade and are not limited to the Transpacific Trades on which PKDC moved its cargo.

a. Big retailers like [REDACTED] with service contracts covering the same period as PKDC, had received a majority of their MQC by March 31, 2022—and in some cases, like [REDACTED], *exceeded* their MQC. CMA146967 [Native]. Both [REDACTED] were ranked as VIP4. CMA146990 at tab Feuil3, rows 4777, 5690 [Native]. [REDACTED] was ranked as VIP3. *Id.* row 5350 [Native]. But PKDC, meanwhile, was not listed as any sort of VIP. *Id.* row 5515 [Native].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. PKDC points to retailers that have different service contracts than PKDC, which, without more, does not offer any evidence that PKDC’s ability to ship suffered because of these retailers moving their own cargo under their own contracts on varied trade lanes. Moreover, PKDC, along with over 6,201 customers out of 6,529 total customers listed on the spreadsheet cited (96.5% of CMA customers identified on the chart), do not have a VIP identifier, showing that PKDC was not singled out and disadvantaged even when looking at the evidence to which it cites for this conclusion. CMA146990 at tab Feuil3. See also the response to PFF #19, which explains how the evidence cited by PKDC does not support the conclusion that customers of certain ranks were treated more favorably.

b. And that is just the VIPs. These same spreadsheets also reveal that CMA preferred NVOCC cargo at much higher floating rates during the 2021 to 2022 contract year. [REDACTED] for instance, signed a floating-rate contract with CMA, contract number [REDACTED], to ship 1,000 TEUs. *Id.* row 1114 [Native]. With one month left on that contract, CMA had already carried

three times that MQC for [REDACTED] or 3,309 TEUs. CMA146967 [Native]. [REDACTED] had even more success with space allocation. It signed contract number [REDACTED] with CMA for an MQC of 200 TEUs at a floating rate. CMA146990 at tab Feuil3, row 1122 [Native]. But CMA carried 2,639 percent of that, or 4,877 TEUs, with one more month left on the contract. CMA146967 [Native]. Or consider [REDACTED], another NVOCC with a floating-rate contract with CMA, but this time for only 500 TEUs, under contract number [REDACTED]. CMA146990 at tab Feuil3, row 975 [Native]. With one month left on [REDACTED] contract, CMA had already carried 3,057 percent of [REDACTED] MQC, or 14,025 TEUs. CMA146967 [Native].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA denies that PKDC's comparison of [REDACTED]'s performance on CMA's EXX service, a distinct and limited service between China and Los Angeles, in a service contract for that service, has any bearing on PKDC's own performance on FOB service under the 2021 Service Contract. CMA146990 at tab Feuil3, Row 1114. In fact, [REDACTED] only moved 48% of its cargo on its FOB contract (Contract 21-2124, which included a similar term). CMA146967, Row 1018. PKDC's comparisons misrepresent the evidence cited to achieve an outcome consistent with its flawed assumptions here about VIP characterizations. PKDC also points to an EXX contract for [REDACTED] again trying to compare apples to oranges. CMA146990 at tab Feuil3, Row 1122. If PKDC were to compare a more similar service FOB contract, 21-2992, it would be obvious that this comparison also revealed a performance consistent with market conditions without regard to [REDACTED]'s VIP status. CMA146967, Row 5126. PKDC's description of [REDACTED] is similarly flawed in its comparison as PKDC focuses on one of several [REDACTED] contracts that applied during this period, under different terms than those of PKDC's

own contracts, and without any additional details about the origin countries and service contract terms of the [REDACTED] contracts. *See* CMA146967, CMA146990. See also the response to PFF #19, which explains how the evidence cited by PKDC does not support the conclusion that customers of certain ranks were treated more favorably.

c. These results are improbable—if not impossible—if CMA had been “reduc[ing] the allocation of all customers on a pro-rata basis” as a “default policy.” CMA’s Reply to PKDC’s First Interrogatories at 7 [APP0800].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. As discussed at length in the response to PFF35b, PKDC’s flawed comparisons of apples to oranges are of no relevance to its arguments here.

36. That is not surprising—in some instances, after CMA rejected PKDC’s booking requests for space on a vessel, PKDC was able to get space on the very same vessel through an NVOCC, but only at much higher rates. PKDC’s Response to CMA’s First Interrogatories at 9 & Ex. D [APP1139, APP1148-APP1159]; Grafton Decl. ¶ 9 (noting that the average basic freight rate to ship cargo with an NVOCC on a CMA vessel during the contract year along the same port pairs as PKDC’s service contract was over \$17,000 per FEU) [APP1162].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The response to Interrogatory No. 9 (APP1139) merely identifies ports from which space was allegedly denied and does not support the proposed finding of fact. Exhibit D (APP1148-APP1159) is a list of shipments that PKDC alleges were made with NVOCCs or other ocean carriers. There is no evidence to support that allegation, and no evidence that these shipments were in fact

rejected by CMA. The fact that all of these shipments moved with NVOCCs, coupled with PKDC's failure to fulfill its contractual obligations under other service contracts, merely proves that PKDC failed to mitigate its damages. CMA further denies this proposed finding of fact to the extent that PKDC attempts to rely on comparisons that were baseless in PFF35. CMA also has insufficient information to comment on PKDC's decision to enter into contracts with NVOCCs and then complain about the rates it paid under those same contracts here or its ability to book cargo pursuant to those contracts.

37. After all, when CMA was reflecting in December 2023 on "[REDACTED] [REDACTED]," it recalled that BCOs like PKDC had "[REDACTED] [REDACTED]" to get equipment. CMA033027 [APP0668].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA further denies that the email, dated in December of 2023, has any bearing on the Relevant Time period, which is not specifically described or referenced here. APP0668. CMA further denies PKDC's allegation here as it mischaracterizes an email describing China and not all of the trade lanes in the 2021 Service Contract or any global condition at CMA. *Id.* CMA further denies the characterization that CMA was "reflecting" because the email chain shows that CMA was continuously working to ensure customers had access to equipment. *Id.* at APP0668-70.

38. In sum, PKDC ended up receiving less than half of its MQC from CMA—even though VIPs and NVOCCs paying floating rates received their MQCs and then some. *See* CMA146967 [Native].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. Moreover, CMA denies this proposed finding of fact because PKDC seeks to compare service contracts that are not relevant to one another while simultaneously failing to consider obvious evidence that would undermine its position in the same documents to which it points. See Responses to PFF 19 and PFF35.

39. Internally, the explanation that CMA gave for only carrying 1,514 TEUs, or about 38 percent of the 4,000-TEU MQC, was the simplest, most logical one: “[d]uring [the] pandemic,” “PKDC was not a VIP customer[.]” CMA139634, at tab Split lifting [Native]; Service Contract 21-2947 Amendment 9 (drawdown amendment reducing MQC to 1,514 TEUs) [APP0343].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA further denies that this was an “explanation” for PKDC failing to move the 2021 Service Contract MQC. CMA further denies this characterization because the description ignores the rest of the cell, as stated, says “During pandemic => PKDC was not a VIP customer + impacted by lockdowns” without any distinction between the two or how one or both may have impacted PKDC. CMA further denies that the contents of the cell, under the heading “Comments” show anything more than that these two conditions may have affected PKDC’s performance under the 2021 Service Contract as compared to its 2020 and 2022 service contracts, where PKDC’s 2020 volumes were moved on APL and CMA in combination and where PKDC moved cargo in excess of its 2022 service contract MQC. See CMA193634.

40. When CMA *did* accept PKDC's cargo, it was hardly ever at the rates set forth in the service contract. Instead, and as more fully discussed below, CMA coerced fees out of PKDC to carry less cargo than was required under the service contract, at higher rates.

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as unsupported by evidence.

41. First, there was PSS. In July 2021, CMA reached out to PKDC regarding PSS—but it was not a negotiation. Instead, CMA stated that it was “moving forward with PSS2/PSS3 for August 1 effective date. Each PSS is \$600 respectively, which totals \$1200.” CMA140844 [APP0689]. CMA's reasoning was that “[t]he volume demands continue to be at an all-time high and they are forecasted to only grow stronger as we begin to prepare for the holiday surge.” *Id.* PKDC did not have a choice, either. As CMA put it: “Without PSS acceptance, it will be difficult for us to continue to consistently move volume for PKDC.” *Id.* In other words, if PKDC did not accept PSS on top of the contractual rate it had already negotiated with CMA, CMA would refuse to carry PKDC's cargo.

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The first two sentences are unsupported by evidence. CMA further denies that PKDC had no choice to negotiate over PSS as surcharges were contemplated when PKDC entered into the 2021 Service Contract and subject to mutual agreement. APP0101. CMA admits to the extent that PKDC accurately quotes portions of the email to which it cites. CMA denies that it would have refused cargo from PKDC if PKDC would not agree to pay the PSS, and, notably, PKDC cites to no evidence for its allegation of same. PKDC also fails to include the full email chain

wherein PKDC responded within less than 24 hours, saying “I understand and this is fine for now.” CMA133908 [RX0222].

42. PKDC pushed back at first—an internal CMA summary from August 2021 relates that PKDC had “recently voiced concerns over lift/MQC performance” and that there was “initial pushback from [PKDC] that PSS should cover incremental costs,” CMA077610 [APP1165]—but PKDC ultimately agreed to coerced PSS fees moving forward, from August 1, 2021, through the end of the 2021-2022 contract year.

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA denies that PKDC pushed back, because PKDC responded promptly, on July 22, 2021, saying “I understand and this is fine for now.” CMA133908 [RX0222]. CMA denies that PKDC expressed “initial pushback” regarding the PSS because the evidence says only that “*EIS discussion==>initial pushback from Dennis that PSS should cover incremental costs” and not that PKDC expressed concern over the PSS. CMA077610. APP1165. CMA admits to the extent that the document cited is quoted properly with respect to the reference to “lift/MQC performance” commentary. *Id.*

43. Contrary to CMA’s stated policies, payment of PSS was “ ,” *i.e.*, when deciding which cargo would be allocated space on a vessel. CMA145170 [APP0514].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The evidence to which PKDC cites does not apply to the Relevant Period and is dated June 11, 2020. APP0514. Moreover, the evidence cited shows that CMA relied on Sea Priority to protect some cargo

from being rolled from one vessel to the next and that PSS was not to be “sold as protection for roll over.” APP0514. This is flatly contradicted by Mr. Eouzan’s testimony that neither rates nor PSS were taken into consideration when determining a cut list. Eouzan Dep. 99:10-16, APP1077.

44. Second, there was SeaPriority Go, or “SPGO.” The product was “supposed” to be sold as insurance against “roll,” or having cargo bumped off of a vessel despite an accepted booking. Eouzan Dep. at 99:17-22 [APP1077]; CMA145170-72 [APP0514-APP0516]. It was “[REDACTED]” for VIP customers; for others, it could be “[REDACTED]” or “[REDACTED].” CMA145170-72. Or, put simply, it was billed as “an additional value-added service that customers could purchase to guarantee space on a” vessel—a way to jack up contract rates and increase profits. CMA’s Supplemental Reply to PKDC’s Second Interrogatories at 2 [APP0818].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The first sentence is not an allegation of fact. CMA admits to the extent that PKDC accurately describes Mr. Eouzan’s testimony. CMA denies that the quoted materials refer to the Relevant Period as they date back to June 11, 2020. Moreover, PKDC contradicts the evidence to which is cited by selectively ignoring the entirety of each sentence and paragraph from which it borrows. When describing SPGO, CMA stated that:

SPGO was an entirely separate program and had nothing to do with the VIP Pool designations. SPGO is an additional value-added service that customers could purchase to guarantee space on a specific vessel/sailing. As opposed to a service contract, which does not guarantee space on any particular vessel or sailing, the SeaPriority Go product allows customers to get priority on equipment and vessel space by paying a premium on top of their

ocean freight rates. It is a publicly available product, open to any customer regardless of whether they ship under tariff or a service contract. APP0818.

45. SPGO became all but necessary to get contractually mandated MQC. SPGO was the only option available to try to make up MQC shortfalls. Space that became available on vessels was offered to PKDC, but only with “SPGO ... on top of [PKDC’s] contract rates,” or \$1,800 per container. CMA140685 [APP1166]. The same shakedown happened repeatedly: “We can offer you 15 FEU, it is your contract rate + SPGO (\$1800),” CMA140612 [APP0690]; “We have some additional space We can give you 20 FEU on this sailing if you are interested. SeaPriority GO is required for this,” CMA140762 [APP0691]; “As discussed, we have an XL out of Yantian that we have some extra space on[.] All cargo must have SPGO,” CMA133427 [APP0694]. CMA thus coerced SPGO fees on top of PSS, simply to carry less cargo for PKDC than it was contractually required to carry.

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The first two sentences are unsupported by evidence. The evidence cited in the third sentence deals with extra space, i.e., space beyond PKDC’s projections. CMA denies PKDC’s characterization CMA’s offers of space on extra loader vessels, outside of PKDC’s 2021 Service Contract on its SPGO service offerings as a “shakedown.” Moreover, PKDC was receptive to these offers, saying “I am sure we can use these” and asking for additional details. APP1166. If PKDC had included the full email chain to which it cites in APP0690, the very next email would reveal PKDC’s response, which was “Thank you so much we will definitely take this space. I will forward this to our booking office and ask them to book immediately.” CMA075947 [RX0224]. Similarly, PKDC responded to another offer of additional space promptly, saying “We will take that with Sea Priority... If there are other options with Sea Priority or even

with a premium fee like we did in Malaysia we could sure use some help.” APP0692. CMA denies PKDC’s allegations of coercion that are completely undermined by PKDC’s contemporaneous and grateful responses, which even went so far as to invite further offers to SPGO space. Moreover, PKDC automatically approved bookings at SPGO levels on an automatic basis in August of 2021. PKDC00071599, [RX0058].

46. Nor was PKDC the only shipper paying SPGO. An internal CMA spreadsheet reveals that many customers were paying SPGO during the 2021-2022 contract year, CMA143283 [Native], including “Elite” customers who already had a leg up in getting space on vessels. And that same spreadsheet detailed how customers who paid SPGO would not get their cargo rolled from a vessel, unlike customers who did not pay. *Id.*

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The first sentence is unsupported by evidence and is irrelevant. CMA admits this proposed finding of fact to the extent that CMA offered its other customers access to its SPGO products and that those other customers also paid for SPGO services. CMA denies that CMA143283 provides a basis for the remainder of PKDC’s allegations in this proposed finding of fact.

47. Finally, there were unofficial fees. For example, when PKDC asked CMA if it could carry 38 containers from Malaysia, CMA responded that it would “look into this,” but it “might be tricky.” CMA141020 [APP0696]. CMA later explained that it could “accept these [containers], but we would need to remove somebody else in order to make this happen. The cost per container to do this would be \$14,000.” *Id.* That is, CMA offered to kick someone else’s cargo off a vessel and give that space to PKDC if it paid \$14,000 per container—a rate far more than its service contract rate.

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The first sentence is not a proposed finding of fact and is unsupported by evidence. CMA admits that PKDC represented to CMA that it had a “critical need for 38 containers” (76 TEUs) and noted that PKDC “realize[d] this will take a premium to move.” APP0697. CMA admits that, contrary to PKDC’s assertions throughout these proposed findings of fact, CMA undertook to support PKDC as a valued customer and tried to find space for PKDC’s “critical need.” APP0696-97. PKDC does not provide any support for its conclusory statement that CMA simply kicked another customer off the vessel, and CMA denies the same. Moreover, at the time and despite its objections today, PKDC readily accepted CMA’s offer of space, saying “Thank you very much for your help. Please go ahead and get this space. We will pay the \$14,000 to ship these containers.” Thereafter, Ms. Martini called PKDC to discuss further, but PKDC has omitted all of this inconvenient additional correspondence from its exhibits here. CMA140973 [RX0228].

48. And on another occasion, PKDC had “delayed containers that” it needed “help with to get bookings.” CMA000845 [APP0714]. CMA discussed the request internally: “if there is [a] rate in mind that will allow us to move some of this backlog”—that is, MQC that CMA had already failed to meet—“I am sure PKDC will heavily consider it.” CMA000844 [APP0713]. CMA “push[ed] a +\$6000” upcharge on top of the contract rate, *id.*, and PKDC accepted that “addon,” CMA000841[APP0710]. Even then, it was still difficult for PKDC to get its cargo on a CMA vessel. “We have \$12k rates filed here and we’re not able to move something around to execute on this for PKDC?” CMA000835 [APP0704]. CMA’s Home Office in turn instructed its employees “to prioritize equipment for this high paying deal[.]” CMA000834 [APP0703].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. Here, PKDC wants to have it both ways: PKDC represents that CMA failed to do enough to help because PKDC's rates were too low and simultaneously points to legitimate market challenges for grounds to complain that capacity constraints could not be overcome when PKDC agreed to pay higher rates. CMA admits that the pandemic created market challenges, which led to constraints on vessel capacity and equipment to carry cargo. CMA further admits that it tried to accommodate requests from PKDC for space and equipment under the 2021 Service Contract and when PKDC's needs fell outside of the 2021 Service Contract *like this request to move 275 containers (550 TUEs)*, even raising requests to CMA's headquarters to prioritize space and equipment for PKDC, a valued customer. APP0714.

49. For cargo that CMA did end up carrying for PKDC, the fees did not stop at PSS and SPGO. PKDC's cargo would land at various ports on the U.S. West Coast and then be shipped to the UPRR Denver Intermodal Terminal by rail. Once unloaded, the containers would be collected by PKDC's logistics providers, including TSL Companies. PKDC's Response to CMA's First Interrogatories at 10-11 [APP1140-APP1141].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The first two sentences are unsupported by evidence. CMA admits to the extent that TSL Companies collected PKDC's containers and denies the rest of PKDC's baseless allegations.

50. But throughout 2022, there were terminal-wide issues at UPRR Denver that CMA was aware of. For instance, in early 2022, CMA knew that its customers were having difficulty returning containers within seven days due to “[REDACTED]”

██████████” CMA138008 [APP1171]. Problems continued through the summer of 2022. By July 19, 2022, there had “██████████

██████████” CMA005440 [APP0718]. Given “██████████” CMA was “██████████
██████████.” CMA005439 [APP0717].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The first sentence is unsupported by evidence. Although APP1171 refers to the issues cited in Denver, it does not identify the UPRR specifically. CMA admits that it offered one additional calendar date to PKDC and one of its competitors in service contract negotiations for 2022 service contracts not within the Relevant Period. APP1171. CMA denies that problems existed or were continuous throughout the summer of 2022 but instead were isolated and uncommon. APP0718-21. CMA admits that concessions were offered when customers could not retrieve cargo from terminals. APP0717. Most importantly, problems picking up cargo are irrelevant to this proceeding, as the charges challenged by PKDC are detention, which applies outside the terminal. Complaint at ¶ 44; Brief at p. 43.

51. But a lack of timely internal communication at CMA was causing issues for PKDC: “██████████
██████████.” CMA005443 [APP0721]. CMA’s solution to these communications issues was simple: blame the customer. “
██████████
██████████” CMA005440 [APP0718].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. PKDC points to an email discussion that resulted from a damaged (leaning) container following a load shift. APP0730-31. As a result, the container was not outgated for safety reasons. *Id.* CMA denies PKDC generalizations here, which applied to an exceptional circumstance, a load shift that was attributable to PKDC and later miscommunications attributable to CMA, Schayer, and PKDC. APP0715-32. CMA denies that it tried to blame the customer and notes that Ms. Martini, in PKDC’s own quote here, advocated for CMA to take some ownership for the collective communication challenges, undermining PKDC’s allegation. APP0718. Moreover, this isolated incident is irrelevant to a claim for detention because it refers to the pick up of equipment and not the return of equipment.

52. Throughout the summer and fall of 2022, TSL routinely requested appointments at UPRR Denver to return CMA containers. But because CMA failed to reserve sufficient space at UPRR Denver, return appointments were often unavailable. TSL repeatedly raised this lack of appointments with CMA:

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The first two sentences are not supported by citations to any evidence. Moreover, PKDC alleges that TSL raised issues about “*CMA containers*” and not PKDC containers. Without more, PKDC does nothing to show that its own containers were affected, and CMA notes that correspondence shows that CMA, upon notice of constraints, promptly engaged to assist TSL. CMA also denies PKDC’s assertion that problems persisted “throughout the summer and fall of 2022” noting that PKDC points to the same evidence multiple times below, fails to properly cite to

much of the evidence to which it cites, and shows correspondence from September to early November of 2022.

- “You have run out of reservations. What’s the plan?” CMA023006 [APP0736];

Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of reservations.

- “Is there a plan to increase reservations for today at the UP Denver?” CMA023007 [APP0737];

Response: CMA denies that this email shows PKDC containers accumulated detention due to any lack of reservations referenced here.

- “[T]he UPRR is not accepting empties at this time due to CMA not having any reserved space,” CMA139992 [APP0741];

Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here.

- “CMA Team, you are out of reserved space at the UPRR,” CMA023003 [APP0733];

Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here, noting that PKDC refers to APP0735 with its quoted material. Moreover, the correspondence shows that CMA undertook to provide space after being notified of container waiting for return capacity. APP0733-35.

- “CMA has no more reserved space for now at the UPRR where they are instructing us to return empties,” CMA023003 [APP0733];

Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here, noting that PKDC

refers to APP0735 with its quoted material, from the same chain as the previous bullet.

- “Seems CMA has run out of reservations for the UPRR,” CMA136273 [APP0743];

Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here, noting that PKDC refers to APP0749 with its quoted material.

- “We were in the process of rotating loads in and empties out when we ran into the usual brick wall, no reservations at the UPRR,” CMA136273 [APP0743];

Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here, noting that PKDC refers to APP0748 with its quoted material, from the same chain as the previous bullet.

- “[R]eservations dried up even for Saturday,” CMA129148 [APP0751];

- **Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here, noting that PKDC refers to APP0750 with its quoted material.**

- “We have run into No Reservations to return CMA empties to the UPRR,” CMA016339 [APP0759];

- **Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here, noting that PKDC refers to APP0763 with its quoted material, from the same chain as the previous bullet.**

- “Still no reservations for today,” CMA016321 [APP0766];

Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here, noting that CMA cancels empty rail billing in correspondence at APP0766. Also, PKDC appears to refer to APP0769 with the quoted material here.

- “[U]nable to ge[t] reservations on CMA empties,” CMA135686 [APP0776];

Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here. CMA also notes that the full correspondence produced shows that CMA promptly engaged to advise that it would request more slots. CMA138460 [RX0231].

- “We are still not able to get reservations today for empty CMA equipment,” CMA135686 [APP0776].

Response: CMA denies that this email shows PKDC containers accumulated detention due to a lack of return capacity referenced here. CMA also notes that the full correspondence produced shows that CMA promptly engaged to advise that it would request more slots. CMA135651 [RX0234].

53. TSL even took screenshots showing that no appointments were available and provided them to CMA. CMA023009-11 [APP0738-APP0740].

Response: CMA admits to the extent that screenshots referenced by PKDC reflect two distinct screenshots, dated September 14, 2022, and September 21, 2022 (the third appears to be a duplicate) wherein TSL could not secure an appointment to return a CMA container.

54. But, despite being notified repeatedly of the lack of available appointments at UPRR Denver, CMA nevertheless imposed substantial detention charges. *See* PKDC’s Response to CMA’s First Interrogatories at 11 [APP1141]; Grafton Decl. ¶¶ 15-16 [APP1164].

Response: CMA denies that substantial detention charges were imposed when appointments were unavailable. CMA further denies that the evidence to which PKDC points supports same. CMA also denies PKDC’s characterization of notices as “repeated” when even the evidence pulled together in PFF53 shows duplicative material, limited in temporal scope, and which does not directly reveal that PKDC’s own containers were charged detention in these instances where appointments were unavailable. Moreover, evidence shows that CMA was willing to consider waivers of and/or reductions to charges of this type. CMA022989-023000, RX0246-57.

55. This is ostensibly because, even though reviewing detention charges is supposed to be a “flexible” process, the *only* instance where “particular supporting documentation” (really, just an “email exchange”) is required by CMA just so happens to be the instance at issue in this case: “lack of appointments.” Rouget Dep. at 35:19-37:22, 39:25-40:10 [APP0938, APP0939]. And that is the case even though lack of appointments is a terminal-wide issue “related to the entire facility,” and not customer-specific. Rouget Dep. at 38:5-39:8 [APP0939].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA denies the accuracy of PKDC’s description of testimony here as misleading. Mr. Rouget emphasized that the process was flexible and that cases, such as lack of appointments, the type of case that he could recall at that time and not the “only” instance where this could occur. Rouget

Dep. at 35:19-37:22, 39:25-40:10 (APP0938-39). CMA admits to the extent that Mr. Rouget testified that appointment issues could be terminal wide.

56. Yet again, CMA preferred its VIP and Elite customers when it came to detention and demurrage, just as it preferred those customers' cargo. When "[REDACTED]" customers raise disputes with CMA, employees that have no responsibility for or training in processing detention and demurrage disputes are assigned to handle those disputes. CMA081658 [APP0785]; Rouget Dep. at 96:5-97:11 [APP0953]. But other customers are assigned dispute analysts who are trained in detention and demurrage dispute processing. CMA081658 [APP0785]; Rouget Dep. at 32:7-23, 44:11-13 [APP0937, APP0940]. That is, requests from non-VIPs like PKDC to waive detention and demurrage charges were subjected to scrutiny from expert dispute analysts, while VIP customers were provided untrained customer-support teams to facilitate resolution of detention-and-demurrage-related disputes.

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. The first and last sentences are unsupported by evidence. CMA denies that the evidence to which PKDC cites supports its conclusions here. CMA081658 (APP0785) is a slide prepared with data from July of 2021 – before PKDC's own detention accrued – that describes an effort to clear a backlog of outstanding freight disputes through the use of various teams, discounts to customers, and speed the resolution process. Mr. Rouget's testimony similarly does not support PKDC's claims here. Instead, Mr. Rouget describes a team that is utilized to support "Strat NVOs," a completely different type of customer than PKDC and separately describes training received by dispute analysts without any reference to being specifically assigned to

any particular type of customer. There is also no reference to “VIP” customers in any portion of the evidence to which PKDC cites. As a result, CMA denies all of PKDC’s allegations here.

57. CMA’s ocean shipping segment was extremely profitable during the COVID-19 pandemic. In 2020, CMA booked \$24 billion in revenue from its container shipping segment. CMA 2021 Consolidated Financial Statements at 19 [APP0035]. That revenue almost doubled to \$45.29 billion in 2021. *Id.* Earnings before interest, taxes, deductions, and amortization (EBITDA) quadrupled from \$5.3 billion in 2020 to \$22.07 billion in 2021 for that same business segment. *Id.* But CMA’s transported volumes of cargo did not increase by the same amount. There was only a 14.8 percent increase in volume year-on-year in the first half of 2021, and in fact a 3.4 percent *decrease* in volume year-on-year in the second half of 2021. *Id.*

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA denies that this proposed finding of fact contains relevant information. As stated in *Samsung Electronics America v. ZIM Shipping Services*, an ocean carrier’s “general financial analysis regarding ZIM’s revenue and net profit is not evidence that these practices were unreasonable.” FMC Docket 22-30, at 69 (ALJ Wirth, Initial Decision, April 22, 2025)(“Moreover, SEA’s general financial analysis regarding ZIM’s revenue and net profit is not evidence that these practices were unreasonable.”)

58. CMA’s results in 2022 were even more impressive. Cargo volume decreased by 1.3 percent in 2022 as compared to 2021. CMA 2022 Annual Financial Results Press Release at 7 [APP0009]. But revenue from shipping nevertheless increased 30 percent from \$45.29 billion in 2021 to \$58.95 billion in 2022. *Id.* And EBITDA increased from \$22.07 billion in 2021 to \$31.64 billion in 2022, or 43.4 percent. *Id.*

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA denies that this proposed finding of fact contains relevant information. As stated in *Samsung Electronics America v. ZIM Shipping Services*, an ocean carrier’s “general financial analysis regarding ZIM’s revenue and net profit is not evidence that these practices were unreasonable.” FMC Docket 22-30, at 69 (ALJ Wirth, Initial Decision, April 22, 2025) (“Moreover, SEA’s general financial analysis regarding ZIM’s revenue and net profit is not evidence that these practices were unreasonable.”)

59. There is only one explanation for such massive increases in revenue and EBIDTA despite a decrease in cargo volume: limited space was not prorated among all customers with service contracts, but rather given to high-paying cargo. See CMA114490 (explaining CMA’s strategy was to prioritize “[REDACTED]” when “[REDACTED]”) [APP0375]. This is not something that CMA hid, either. It bragged that its “strategy” in 2022 allowed it “to look forward to 2023 with confidence,” now that “freight rates” were “declin[ing].” CMA 2022 Annual Financial Results Press Release at 1 (“As trade returns to normal and freight rates decline, our strategy and recent investments will prove all the more relevant and allow us to look forward to 2023 with confidence.”) [APP0003].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA denies that the email to which PKDC cites, a *March 2020 email from APL*, is relevant here. APP0375. APL is not a party to this proceeding, and the statement precedes even APL’s organization as part of CMA operationally.⁵ CMA denies that this proposed finding of fact contains relevant

⁵ See *CMA CGM Group Reorganizes Transpacific Trade Focusing APL on US Flag* THE MARITIME EXECUTIVE, July 7, 2020 (available at <https://maritime-executive.com/article/cma-cgm-group-reorganizes-transpacific-trade->

information. As stated in *Samsung Electronics America v. ZIM Shipping Services*, an ocean carrier’s “general financial analysis regarding ZIM’s revenue and net profit is not evidence that these practices were unreasonable.” FMC Docket 22-30, at 69 (ALJ Wirth, Initial Decision, April 22, 2025)(“Moreover, SEA’s general financial analysis regarding ZIM’s revenue and net profit is not evidence that these practices were unreasonable.”)

60. By the end of the service contract, CMA had only carried 1,514 TEUs for PKDC, meaning that it failed to carry 2,486 TEUs. Service Contract 21-2947 Amendment 9 [APP0343].

Response: CMA admits to the extent that 1,514 TEUs were carried for PKDC but denies that this was the result of a “failure” attributable to CMA.

61. PKDC, however, was ready, willing, and able to ship its 4,000-TEU MQC—it ended up exceeding its volume projections for the 2021 to 2022 contract year, after all. Grafton Dep. at 32:9-16.

Response: CMA has insufficient knowledge to opine on PKDC’s willingness to ship containers during the Relevant Period. CMA would note that, if PKDC had moved all 4,000 TEUs with CMA, PKDC would have failed to move even larger volumes of cargo in accordance with the terms of its contractual obligations to other VOCCs and NVOCCs and that PKDC has offered no explanation for this disparity or apparent disregard for its contractual obligations CMA PFFs 11-15.

62. Those 2,486 TEUs (or 1,243 FEUs) had to be shipped with NVOCCs instead of CMA. See Grafton Dep. at 35:3-15 (explaining that although PKDC “was hoping to avoid

[focusing-apl-on-us-flag](#))(last accessed June 22, 2026) (“Effective October 1, 2020, CMA CGM will become the sole commercial carrier of the group for transpacific operations. APL, which had continued its operations following the 2016 merger of Neptune Orient into CMA CGM will transition its express services to CMA CGM.”)

shipping cargo with NVOCCs during contract year '21-'22," PKDC ended up shipping "[a]pproximately 3,700 FEUs" with NVOCCs) [APP0853].

Response: CMA denies that PKDC was forced to ship 2,486 TEUs with NVOCCs because PKDC had service contracts with various other VOCCs in excess of 2,486 TEUs. CMA PFFs 16, 20, 24, 30, 33, 36-41. Moreover, PKDC entered into contracts with multiple NVOCCs during the Relevant Period. If PKDC's intent was not to ship with these NVOCCs, it must have entered into these agreements in bad faith. PKDC has also failed to offer any explanation for its claim that it is entitled to compensation for using NVOCCs *that PKDC contracted with to move cargo during the Relevant Period* to actually move cargo during the Relevant Period. Said differently, CMA denies PKDC's claim that CMA forced PKDC to do something it was contractually bound to do. Moreover, PKDC has offered no explanation for why it could not ship with other VOCCs under the MQCs in its service contracts with same and was allegedly forced to rely on NVOCCs. Accordingly, CMA denies that this is attributable to CMA.

63. But those NVOCCs charged much higher rates than the rates PKDC had agreed to with CMA in the service contract. The average cost to ship an FEU with an NVOCC during the contract year along the same port pairs covered by the service contract was \$15,754.20—well over the average rate of \$5,243.82 per FEU under the service contract with CMA. Grafton Decl. ¶¶ 7, 10 [APP1161-APP1162]. In fact, the average cost to ship an FEU with an NVOCC on a *CMA vessel* during the contract year along the same port pairs was even higher: \$17,614.17. *Id.* ¶ 9 [APP1162].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA does not have

sufficient information to admit or deny PKDC's costs to ship with NVOCCs but denies that this information is relevant because PKDC has not shown that it could not ship under its other VOCC contracts with more desirable rates. *See also* Response to PFF62.

64. Moreover, the service contract between PKDC and CMA guaranteed carriage all the way from the port to the inland final destination (typically, Colorado), *see* Service Contract 21-2947 [APP0114-APP0118]; however, PKDC had to make alternative, expensive arrangements to move the 1,243 FEUs shipped using NVOCCs from the port to their destinations. In total, PKDC had to pay an additional \$13,064,402.34 just to cover the increased ocean freight rates charged by NVOCCs, and an additional \$3,121,416.15 in inland freight and cross-docking fees. Grafton Decl. ¶¶ 12, 14 [APP1163].

Response: CMA denies this proposed finding of fact as improper, argumentative, conclusory, and as mischaracterizing evidence that speaks for itself. CMA does not have sufficient information to admit or deny PKDC's costs to ship with NVOCCs but denies that this information is relevant because PKDC has not shown that it could not ship under its other VOCC contracts with more desirable rates. CMA denies that PKDC's characterization of performing under its own contracts with NVOCCs as "alternative, expensive arrangements" is attributable in any way to CMA. Moreover, most NVOCCs offer through service to inland destinations, and there is no reason PKDC's contracts with NVOCCs could not have included through rates. This is merely another example of PKDC's failure to mitigate its damages.

65. That amounts to \$16,185,818.49 in additional money paid over the contract rate for the 1,243 FEUs that CMA failed to carry in accordance with the service contract. Grafton Decl. ¶ 17 [APP1164].

Response: See Responses to PFF62 to PFF64.

66. Furthermore, for the 1,514 TEUs that CMA *did* carry, the invoices show that \$1,099,525.08 in coerced fees—including PSS and SPGO—were assessed on top of the contract rate. Grafton Decl. ¶ 5 [APP1161].

Response: CMA denies PKDC’s characterization of “coerced fees” that are completely undermined by PKDC’s own responses to offers from CMA. See Responses to PFF41, PFF24, and PFF45. PKDC cites no evidence to support any contention that application of PSS and/or SPGO were assessed other than in accordance with the terms of the 2021 Service Contract.

67. Adding up those coerced fees brings the total damages to \$17,285,343.57. Grafton Decl. ¶ 17 [APP1164].

Response: CMA denies PKDC’s characterization of “coerced fees” that are completely undermined by PKDC’s own responses to offers from CMA. See Responses to PFF41, PFF24, and PFF45. CMA denies that PKDC suffered damages as described.

68. Finally, the detention invoices show that CMA charged PKDC at least \$879,260 for not returning empty containers when no appointments were available. Grafton Decl. ¶ 16 [APP1164]. This amount brings the total of PKDC’s damages claim to \$18,164,603.57. *Id.* ¶ 17 [APP1164].

Response: CMA denies that PKDC’s assessment of detention charges is accurate or supported by evidence prepared. PKDC has failed to produce evidence in support of its claims that detention was improperly charged on a container by container basis.

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